U.S. equity markets ended the day higher, rebounding from Tuesday's decline where technology stocks led a sharp pullback, particularly on the Nasdaq NASDAQ Composite Index[1]. The S&P 500 S&P 500 and Nasdaq have seen significant gains since April—respectively up about 37% and 56%—but recent volatility suggests markets may be poised for some consolidation or correction, despite solid underlying fundamentals as we move towards 2026[1].

Earnings Season Highlights

- Corporate earnings for Q3 are robust, with roughly 83% of reporting S&P 500 companies beating forecasts—well above the 10-year average[1].
- Earnings growth for the S&P 500 is on track for 12% year-over-year, outperforming earlier estimates, with non-tech sectors like industrials, health care, and consumer discretionary leading positive surprises[1].
- Notably, mega-cap technology companies, especially those in AI and cloud—such as Amazon Amazon.com, Inc. and Apple Apple Inc.—delivered earnings beating expectations[1]. Amazon's cloud business and Apple's iPhone optimism continue to drive quarter performance.

Interest Rates and Economic Policy

- The U.S. Federal Reserve delivered an expected rate cut but signaled caution on whether another cut will materialize at its next meeting[2]. The target range now sits at 3.75%-4.00%, with the market-implied odds for a further cut falling to about 70%[1].
- Recent government shutdowns have produced a data vacuum, adding uncertainty for policymakers, who stressed a "foggy" outlook ahead[1].

Sector and Global Performance

- For the week, technology led gains in the S&P 500 sectors, up 3.0%—while consumer discretionary rose 2.8%. Other major sectors such as financials and healthcare finished lower[2].
- Major U.S. indexes posted six consecutive monthly gains, with the NASDAQ posting a strong 4.7% rise for October[2].
- Internationally, Japan and Spain posted notable weekly advances, while Europe and China declined. Korea's market rose a remarkable 6.9% last week and leads year-to-date performance among developed and emerging markets[2].

Outlook

- Despite concerns about market valuations, healthy corporate growth, improved earnings forecasts, and a likely gradual path for rate cuts support a positive longer-term market outlook as we end 2025 and transition into 2026[1][2]. The primary risks remain elevated valuations, central bank uncertainty, and ongoing global trade developments.

Sources [1] Daily market snapshot - Edward Jones
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p [2] Weekly Market Recap — Manulife John Hancock Investments https://www.jhinvestments.com/weekly-market-recap [3] Today's Market Summary - Vanguard https://investor.vanguard.com/investor-resources-education/education/market-summary [4] Stock Market Data - US Markets, World Markets, and Stock Quotes https://www.cnn.com/markets [5] MarketWatch: Stock Market News - Financial News - MarketWatch https://www.marketwatch.com [6] Yahoo Finance - Stock Market Live, Quotes, Business & Finance News https://finance.yahoo.com [7] NYSE: The New York Stock Exchange https://www.nyse.com/index [8] US Markets News - CNBC https://www.cnbc.com/us-markets/ [9] Market Summary Dashboard - StockCharts.com https://stockcharts.com/freecharts/marketsummary.html [10] Briefing.com: Stock Market Today | Stock Market Analysis https://www.briefing.com